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Legal Memorandum

TO Avalon Bancorp Inc.
FROM Outside Counsel
DATE November 11, 2026
RE Marcus Davenholt's governance rights and the rejected Velridge contract

Executive assessment

Avalon faces meaningful litigation risk, but neither contractual validity nor fiduciary liability is automatic. Section 122(18), effective before the September 2024 veto, generally authorizes stockholder consent rights. Avalon's unusually exclusive charter language and the mechanics of Marcus's appointment power create enforceability questions. Even an enforceable agreement would not excuse directors from independently evaluating Avalon's interests. Marcus's exposure turns on controller status and whether his veto constitutes managerial intervention or protected exercise of a stockholder's own rights.

Scope and assumptions. This memorandum addresses Delaware corporate law as of November 11, 2026, distinguishing the September 2024 framework from later developments affecting litigation. We assume ordinary DGCL governance, proper corporate approval of the investment agreement, and that Marcus's appointment right covers the full board and officers. His ownership percentage and directors' knowledge of his motive are unspecified. We accept that Marcus acted solely from personal animus. Demand requirements and banking regulation are outside scope.

I. Board authority and contractual enforceability

A. The default rule and the 2024 change

Section 141(a) places management with the board, subject to statutory or charter exceptions. Before the 2024 amendment, Moelis held that internal-governance contracts substantially disabling directors' independent judgment violated that rule. It invalidated extensive pre-approval restrictions and certain board-composition requirements, but upheld designation, nomination, and reasonable-efforts provisions. Avalon's blanket transaction veto and literal appointment power would have been particularly vulnerable under that analysis. DGCL § 141(a); W. Palm Beach Firefighters' Pension Fund v. Moelis & Co., 311 A.3d 809, 816, 825–30 (Del. Ch. 2024).

Senate Bill 313 was signed July 17, 2024. Its new § 122(18) became effective August 1, 2024 and reaches earlier agreements, except civil actions or proceedings completed or pending on or before that date. Assuming no such proceeding, it applies to Avalon's January 2024 agreement and September conduct. It authorizes, notwithstanding § 141(a), contracts with current or prospective stockholders for board-determined consideration, including consent rights and covenants concerning corporate action. Marcus's investment supplies an apparent consideration basis, subject to the approval record. S.B. 313, 84 Del. Laws ch. 309, § 6 (2024); DGCL § 122(18).

Subsequent treatment of Moelis. On January 20, 2026, the Delaware Supreme Court reversed on laches grounds and vacated the declaratory order, without deciding facial validity. It held that the challenged restrictions, if defective, were voidable rather than void. Accordingly, the 2024 opinion explains the historical problem; it should not be presented as an undisturbed current holding invalidating Avalon's agreement. Moelis & Co. v. W. Palm Beach Firefighters' Pension Fund, No. 340, 2024, 2026 WL 184868 (Del. Jan. 20, 2026).

B. Avalon's charter is a separate limitation

Section 122(18) preserves the charter's priority: a contractual provision is unenforceable against the corporation to the extent contrary to the charter or impermissible under Delaware law if placed in the charter. However, provisions merely empowering directors to act do not create such a conflict. The legislative synopsis says a general repetition of § 141(a) does not defeat § 122(18), and identifies an express restriction on the corporation's contracting power as an effective limitation. DGCL § 122(18); S.B. 313 synopsis (Section 1).

Avalon's provision goes further than the statutory default: its affairs "shall be exclusively managed by the board of directors." Stockholders could plausibly argue that "exclusively" reserves substantive management decisions to the board and excludes Marcus's comprehensive veto and officer-selection power. That reading would make those provisions unenforceable to the extent of the conflict; the agreement cannot amend the charter by contract.

Marcus has a substantial counterargument: the clause remains a general allocation of managerial authority, not an express prohibition on stockholder contracts; the board manages Avalon subject to a corporate contractual commitment authorized by § 122(18). The statute's protection for board-empowering provisions supports him. The cited authorities do not conclusively resolve this exact language. Thus, the amendment defeats a simple § 141(a)-only objection, but Avalon should not assume that it overrides the word "exclusively." Judicial construction may be needed. DGCL § 122(18); S.B. 313 synopsis (Section 1).

C. Appointment rights and bylaws require separate analysis

A covenant to nominate Marcus's candidates or procure their lawful election differs from a self-executing power to install directors. Section 122(18) supports governance covenants; it does not dispense with statutory director-election and vacancy-filling procedures. Similarly, officer selection must follow the bylaws or a board-determined method; officer vacancies ordinarily fall to the board absent a bylaw provision. With only the stipulated governance clause, a claim that Marcus alone can immediately install directors or officers is vulnerable. DGCL §§ 211(b), 223(a); DGCL § 142(b), (e).

The bylaws reinforce the charter but are not interchangeable with it. Section 109(b) requires consistency with law and the charter; putting Marcus's powers in a bylaw would not cure a charter conflict. Moreover, after payment for shares, stockholders hold bylaw-amendment power unless the charter also confers it on directors. The assumed clause supplies no such express grant. A bylaw conflict is not itself the express charter-based bar in § 122(18), and should not be conflated with one. DGCL § 109(a)–(b).

Practical conclusion. The transaction veto is a type of right the statute generally permits; its enforceability here remains materially uncertain. Appointment provisions require construction and lawful implementation. Any defect need not invalidate the share issuance or every contractual provision: the statutory proviso applies only to the extent of the inconsistency. DGCL § 122(18).

II. Fiduciary implications for Avalon's directors

A. Independent judgment remains necessary

Contractual authority and fiduciary compliance are distinct. The S.B. 313 synopsis expressly states that fiduciary duties survive entering, performing, or deciding to breach stockholder agreements, and that enforcement remains subject to equitable review. It does not make Marcus's wishes the directors' fiduciary objective. S.B. 313 synopsis (Section 1). Exchanging governance rights for needed capital can be legitimate; these facts do not establish that January's approval was itself disloyal.

In McMullin, directors could not surrender their ultimate informed, independent judgment to a controlling stockholder, even where that stockholder's voting position limited realistic alternatives. Its reasoning supports a challenge to mechanical deference here. But McMullin concerned a sale of the entire company; Avalon's commercial contract does not, merely because revenues would increase tenfold, trigger sale-of-control value-maximization duties. McMullin v. Beran, 765 A.2d 910, 917–20, 923–24 (Del. 2000).

The board should have evaluated the offer's expected profitability, costs, risks, financing and alternatives—not revenue alone—and obtained advice about Marcus's rights and the exclusive-management clause. It also should have considered seeking consent or a waiver, renegotiating the restriction, or obtaining timely judicial relief. Simply treating the agreement as conclusive, without assessing enforceability or alternatives, supports a duty-of-care claim if the process was grossly negligent. McMullin, 765 A.2d at 921–24.

B. Loyalty, good faith, and defenses

Ordinarily, the business judgment rule protects informed, disinterested decisions made in good faith. A director's appointment by Marcus does not alone prove dependence, but evidence of actual domination or willingness to sacrifice Avalon's interests to retain Marcus's favor would undermine that protection. The stated desire to appease him is concerning; each director's circumstances and participation matter. McMullin, 765 A.2d at 921–24; DGCL § 144(d)(3). If a board majority is beholden to an interested controller, entire-fairness review may replace ordinary deference, subject to § 144. Lynch, 638 A.2d at 1115.

If directors knew the veto served only a personal vendetta and knowingly subordinated Avalon's interests to it, stockholders could plead disloyalty or bad faith, not merely poor business judgment. Bad faith includes intentionally acting for a purpose other than advancing the corporation's interests or consciously disregarding a known duty; it is part of loyalty, not an independent duty. The facts do not establish what the directors knew, so Marcus's stipulated motive cannot automatically be imputed to them. Stone v. Ritter, 911 A.2d 362, 369–70 (Del. 2006).

Conversely, respecting an enforceable contract to avoid damages, an injunction, or loss of a valuable investor relationship can serve Avalon's interests. The board is not required to accept every attractive proposal, and fiduciary duties do not supply an automatic contractual escape clause. An informed conclusion that compliance was the best lawful course would be materially different from obedience for its own sake. A decision to breach could itself expose Avalon to contractual remedies. DGCL § 122(18); S.B. 313 synopsis (Section 1).

On the stipulated documents, no charter exculpation provision exists. Directors therefore cannot assume protection against monetary care claims under § 102(b)(7); even an adopted provision could not exculpate loyalty breaches or bad faith. Liability nevertheless requires proof of the applicable breach and resulting harm, not simply the rejection of a large offer. DGCL § 102(b)(7); Stone v. Ritter, 911 A.2d 362, 369–70 (Del. 2006).

III. Fiduciary implications for Marcus

A. Minority ownership does not resolve controller status

Under the common-law framework applicable in 2024, a stockholder owed fiduciary duties if it owned a voting majority or actually controlled corporate conduct, generally or concerning the challenged matter. Lynch treated a 43.3% holder as a controller based on actual domination, not percentage alone. Kahn v. Lynch Commc'n Sys., Inc., 638 A.2d 1110, 1113–15 (Del. 1994).

Voigt evaluates ownership, board and management influence, and contractual rights together. Basho found transaction-specific control where a minority investor combined blocking rights with financing leverage to force an unfair financing. Neither makes every veto holder a fiduciary. Superior Vision rejected controller status based solely on a minority stake and a contractual dividend veto. Voigt v. Metcalf, C.A. No. 2018-0828-JTL, 2020 WL 614999, at *11–22 (Del. Ch. Feb. 10, 2020); Basho Techs. Holdco B, LLC v. Georgetown Basho Invs., LLC, 2018 WL 3326693, at *25–31 (Del. Ch. July 6, 2018), aff'd, 221 A.3d 100 (Del. 2019) (TABLE); Superior Vision Servs., Inc. v. ReliaStar Life Ins. Co., 2006 WL 2521426, at *4–6 (Del. Ch. Aug. 25, 2006).

Marcus's case is stronger for control than an isolated protective veto: he can select the board and officers, block every corporate transaction, and actually induced the board's rejection. These facts support general control and, alternatively, transaction-specific domination. If appointment provisions are unenforceable, their practical influence and the directors' actual behavior still matter under the common-law inquiry. Countervailing facts could include genuinely independent directors exercising their own judgment, rather than submission to his managerial authority.

B. Later legislation may govern a suit brought now

Amendments effective March 25, 2025 apply retroactively, except for proceedings completed or pending, or inspection demands made, on or before February 17, 2025. We assume no such saved matter. In February 2026, Rutledge upheld the amendments against the certified Delaware constitutional challenges. 85 Del. Laws ch. 6, § 3 (2025); Rutledge v. Clearway Energy Grp. LLC, 2026 WL 548504 (Del. Feb. 27, 2026).

Current § 144 recognizes a controller who has a contractual or other right to cause election of a board majority, independently of equity percentage. If Marcus's full-board appointment power is enforceable and means the right to procure election, that route likely applies. If not, his unspecified minority stake matters: the alternative functional-control route requires at least one-third voting power plus managerial authority. Actual influence alone is no longer sufficient under that statutory definition. DGCL § 144(d)(4), (e)(2).

Thus, controller status is likely if the appointment right survives, but not established merely by calling Marcus an influential minority investor. The enforceability question and the precise scope of his rights affect both statutory analysis and fiduciary exposure. For any saved pre-amendment proceeding, the common-law cases above remain central.

If Marcus is not a controller and holds no board or officer position, minority ownership alone creates no fiduciary duty. A separate aiding-and-abetting claim could arise if he knowingly participated in a proven board breach causing loss; the veto alone does not establish those elements. Malpiede v. Townson, 780 A.2d 1075, 1096–98 (Del. 2001).

C. A personal veto is risky, but Sears supplies a defense

Controller status does not make every exercise of a stockholder's rights fiduciary misconduct. Sears distinguishes exercising managerial power through directors from acting on one's own stockholder rights. It permits a controller to vote against a transaction and preserve the status quo; affirmative intervention changing the status quo carries duties not to harm the corporation intentionally or through gross negligence. The court applied enhanced scrutiny to director removals and a bylaw amendment, requiring a legitimate, good-faith objective and reasonable means, and found that intervention justified. In re Sears Hometown & Outlet Stores, Inc. S'holder Litig., 309 A.3d 474, 503–18 (Del. Ch. 2024).

Marcus can argue that withholding an existing consent merely preserved the status quo: he did not replace directors, amend bylaws, or extract financial consideration. Sears therefore precludes assuming that personal motive alone establishes liability for any negative vote. Superior Vision likewise supports the proposition that a noncontroller's bargained-for consent right is not converted into a fiduciary obligation simply because its exercise frustrates the company. Superior Vision Servs., Inc. v. ReliaStar Life Ins. Co., 2006 WL 2521426, at *4–6 (Del. Ch. Aug. 25, 2006).

Stockholders would respond that this was not a statutory stockholder vote on a fundamental transaction. It was a universal contractual veto over ordinary business, exercised by someone empowered to select management. Voigt observes that such rights can exceed a voting majority's ordinary powers. Characterizing Marcus as directing corporate decision-making rather than merely voting his shares is consequently plausible. Whether Sears's status-quo protection extends to this contractual veto remains uncertain. Voigt, 2020 WL 614999, at *18–19; In re Sears Hometown & Outlet Stores, Inc. S'holder Litig., 309 A.3d 474, 503–18 (Del. Ch. 2024).

If managerial fiduciary duties apply, knowingly sacrificing Avalon's opportunity solely to settle a golf-related grievance strongly supports disloyalty or bad faith. No business rationale exists on the assumed facts. If enhanced scrutiny applies by analogy to Sears, vengeance is not a legitimate corporate objective. If the rejection is treated as a conflicted controller act conferring a material, nonratable personal benefit, entire-fairness review is another possibility; however, Lynch's conflicted-merger rule should not automatically be transplanted to a rejected commercial contract. Stone v. Ritter, 911 A.2d 362, 369–70 (Del. 2006); Kahn v. Lynch Commc'n Sys., Inc., 638 A.2d 1110, 1113–15 (Del. 1994).

For a suit governed by current § 144, revenge could constitute an "other benefit" not shared generally. Non-going-private controller acts can receive protection through a properly empowered disinterested committee, informed and uncoerced disinterested-stockholder approval, or fairness. None is established here; acquiescence is not cleansing. Statutory controller protection against monetary care liability also preserves loyalty and bad-faith exposure. These rules matter only if the veto/rejection falls within the statutory transaction category. DGCL § 144(b), (d)(5), (e)(3).

IV. Litigation implications and next steps

Lost contract value ordinarily injures Avalon first, making fiduciary damages claims derivative; a separate governance-validity challenge may be direct depending on the right and relief asserted. Demand is not analyzed. Recovery requires causation and provable loss: tenfold revenues are not tenfold profits or damages. Tooley v. Donaldson, Lufkin & Jenrette, Inc., 845 A.2d 1031, 1033, 1039 (Del. 2004).

Avalon should preserve the offer, financial projections, approval records, and communications concerning Marcus's motive; obtain independent advice on enforceability; and reassess any still-available opportunity through disinterested decision-makers. Consider a negotiated waiver or declaratory relief rather than unexamined compliance or unilateral disregard. Any lasting charter solution should follow § 242's approval process, not an inconsistent bylaw. Bottom line: the board faces a credible abdication/loyalty challenge; Marcus faces substantial but fact- and characterization-dependent controller exposure, with meaningful contractual and status-quo defenses. DGCL § 242(b)(1).